funds has become almost equivalent to the challenge in picking individual stocks.

Investors Change Their Spots; So Do Managers

In part responding to this change, the behavior of investors who own mutual funds has also changed. Fund investors no longer just *pick* funds and *hold* them. They *trade* them. In 1951, the average fund investor held his or her shares for about 16 years. Today, that holding period averages about four years.To make matters worse, fund investors don't trade very successfully. Because they usually chase good performance and then abandon ship after bad performance, the asset-weighted returns—those actually earned by *fund investors* —have trailed the time-weighted returns reported by the *funds themselves* by the astonishing gap mentioned previously, in which the 10 percent annual return of the average fund over 25 years was 37 percent higher than the 7.3 percent return earned by fund shareholders.

The investment process utilized by fund managers, too, is radically different from the process prevailing when I entered this field. In 1951, management by investment committee was the rule; today it is the exception. This is the age of the portfolio manager, with the vast majority of funds (some 60 percent) managed by a single individual or a team of about three managers.[17] While committee management was hardly a guarantor of superior returns, the system served investors well, with the vast majority of funds producing returns that were relatively marketlike. And while a system of individual portfolio managers may not be bad in and of itself, this evolution—really a revolution—has led to costly discontinuities. A star system among mutual fund managers has evolved, with all the attendant hoopla, encouraging hyperactivity by fund investors. The average portfolio manager serves a fund for but five years, aggressively managing a portfolio the returns of which often depart sharply from the returns of the broad stock market—sometimes